STATISTICAL SAMPLING MEMO — DESIGN

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	AR Sub-Ledger — FY2025
Source File	meridian_ar_subledger.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	SSM-2026-1023-203
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

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STATISTICAL SAMPLING MEMO — DESIGN

Meridian Capital Group, LLC

23rd October 2026 • SSM-2026-1023-203

I. Scope

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Source ... AR Sub-Ledger — FY2025 (meridian_ar_subledger.csv)
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This memo documents the statistical sampling procedures performed in accordance with ISA 530 (Audit Sampling) and PCAOB AS 2315 (Audit Sampling). Period under examination: FY 2025 (January 1 – December 31, 2025). Sampling method: Monetary Unit Sampling (MUS).

The automated statistical sampling procedures documented in this workpaper were performed on the population data subject to sampling procedures provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Design Parameters

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Population Size ................................ 1,240
Population Value ........................ $4,850,000.00
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Population value of $4,850,000.00 represents aggregate invoice activity for FY2025 per the AR sub-ledger (1,240 transactions). This differs from the ending AR balance of $892,000 (per Trial Balance) which represents the outstanding balance at December 31, 2025. The sampling population is the full transaction population, appropriate for testing the completeness and existence assertions over AR transactions.

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Confidence Level ................................ 95%
Confidence Factor ............................. 3.0000
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Confidence factor of 3.0000 corresponds to the 3.0000 (-ln(0.05), rounded) — 95% confidence level. Per the Poisson distribution table used in MUS, the factor is derived as -ln(1 - confidence level).

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Tolerable Misstatement ..................... $75,000.00
Expected Misstatement ...................... $15,000.00
Sampling Interval .......................... $16,666.67
Calculated Sample Size ............................ 291
Actual Sample Size ................................ 207
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Actual sample size increased from calculated 291 to 207 (+-84 items, +-28.9%) due to stratification. All 42 items in the High Value stratum (>$25,000) are tested 100%, plus 165 items selected from the Remainder stratum via systematic interval selection (42 + 165 = 207).

Tolerable Misstatement Derivation

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The tolerable misstatement of $75,000.00 was entered by the practitioner based on the engagement's overall materiality assessment. Per ISA 320.11, tolerable misstatement is the amount set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality. The practitioner should document the basis for this amount in the engagement's materiality workpaper (e.g., WP-MAT-001).

Expected Misstatement Derivation

The expected misstatement of $15,000.00 was entered by the practitioner. This represents 20.0% of tolerable misstatement ($75,000.00), which is a common planning estimate when no prior year misstatement history is available. Per ISA 530.A4, the expected misstatement should be based on the auditor's knowledge of the client, including misstatements identified in prior periods. If prior year misstatement data is available, it should be used to refine this estimate.

The expansion factor used to derive the MUS sample size from this expected misstatement is drawn from the AICPA Audit Sampling Guide, Table A-1, with linear interpolation between the guide's published expected-to-tolerable ratio buckets.

III. Stratification

Stratum	Threshold	Count	Value	Sample
High Value (100%)	>$25,000	42	$2,100,000.00	42
Remainder (MUS)	≤$25,000	1198	$2,750,000.00	165

IV. Methodology

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

Monetary Unit Sampling (MUS) was applied in accordance with ISA 530 and PCAOB AS 2315. The sample was selected using systematic dollar-interval selection with a cryptographically secure random start (Python secrets module). Sample evaluation uses the Stringer bound method, which calculates the upper error limit as: Basic Precision + Projected Misstatement + Incremental Allowance for sampling risk.

Authoritative References

Body	Reference	Topic	Status
IAASB	ISA 530	Audit Sampling	Current
PCAOB	AS 2315	Audit Sampling	Current
AICPA	AU-C Section 530	Audit Sampling	Current
FASB	ASC 450-20	Contingencies — Loss Contingencies	Current

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V. Status

Sample of 207 items has been selected. Evaluation pending — auditor must complete testing of selected items and upload results for evaluation.

VI. Sample Selection Preview

The following table shows the first 10 items selected for testing, sorted by sampling order. The complete sample of 207 items is available as a CSV export from this report.

#	Item Ref	Description	Amount	Stratum
1	INV-0012	Meridian Holdings — Q1 Retainer	$85,000.00	High Value
2	INV-0047	Apex Solutions — Cloud Infrastructure	$62,500.00	High Value
3	INV-0103	Pinnacle Partners — Annual License	$48,200.00	High Value
4	INV-0218	Sterling Corp — Project Milestone 3	$37,800.00	High Value
5	INV-0344	Vanguard Tech — Hardware Procurement	$31,450.00	High Value
6	INV-0512	Crestview Industries — Consulting Fee	$18,750.00	Remainder
7	INV-0687	Atlas Logistics — Shipping Services	$12,400.00	Remainder
8	INV-0891	Horizon Media — Advertising Campaign	$9,800.00	Remainder
9	INV-1024	Summit Engineering — Design Review	$7,250.00	Remainder
10	INV-1156	Pacific Trading — Component Supply	$4,600.00	Remainder

Full sample listing (207 items) should be exported and provided to the client as a document request. Items are listed in systematic selection order — the random start was generated using a cryptographically secure method (Python secrets module) to ensure defensible randomness per ISA 530.

VII. Next Steps

The following 207 items have been selected for AR balance testing using Monetary Unit Sampling (MUS). To complete the sampling procedure:

Step 1 — Prepare Client Request

Export the full sample listing and provide to the client as a formal document request. For each selected invoice, request: (a) original invoice copy, (b) customer purchase order or contract, (c) shipping or delivery confirmation, and (d) any subsequent cash receipts or credits applied to the balance.

Step 2 — Perform Confirmation Procedures (ISA 505)

Consider whether positive confirmation of selected balances is required. For balances over the materiality threshold, direct positive confirmation with the customer is the preferred procedure. For smaller balances, alternative procedures (subsequent receipts, invoice examination) may be substituted with documented rationale.

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Step 3 — Test Each Selected Item

For each selected item, confirm: (a) the recorded amount agrees to the supporting invoice; (b) the transaction date falls within the period under examination; (c) goods or services were delivered prior to period end (cut-off assertion); (d) the customer has been billed and the receivable is valid (existence assertion); (e) the balance is collectible at the recorded amount (valuation assertion).

Step 4 — Record Results

Document the audited amount for each item. Record any difference between the recorded amount and the audited amount as a misstatement. For each misstatement, record: the direction (overstatement / understatement), the nature (pricing error / cut-off / non-existent receivable / other), and whether the client has agreed to correct the item.

Step 5 — Upload Results for Evaluation

When testing is complete, upload the error results to the Paciolus Sampling Evaluation module (SSM Evaluation tab) to compute the Upper Error Limit (UEL) using the Stringer bound method and obtain a PASS / FAIL conclusion. If UEL exceeds $75,000.00 (Tolerable Misstatement), expand the sample or perform alternative procedures per ISA 530.17.

This memo documents automated statistical sampling testing procedures with reference to ISA 530 (Audit Sampling) and PCAOB AS 2315. Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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